

Price-Earnings Ratios for Common Stocks. Adjustments for Changes in Capitalization

IN PREVIOUS CHAPTERS various references have been made to Wall Street's ideas on the relation of earnings to values. A given common stock is generally considered to be worth a certain number of times its current earnings. This number of times, or multiplier, depends partly on the prevailing psychology and partly on the nature and record of the enterprise. Prior to the 1927–1929 bull market ten times earnings was the accepted standard of measurement. More accurately speaking, it was the common point of departure for valuing common stocks, so that an issue would have to be considered exceptionally desirable to justify a higher ratio, and conversely.

Beginning about 1927 the ten-times-earnings standard was superseded by a rather confusing set of new yardsticks. On the one hand, there was a tendency to value common stocks in general more liberally than before. This was summarized in a famous dictum of a financial leader implying that good stocks were worth fifteen times their earnings.¹ There was also the tendency to make more sweeping distinctions in the valuations of different kinds of common stocks. Companies in especially favored groups, *e.g.*, public utilities and chain stores, in 1928–1929, sold at a very high multiple of current earnings, say, twenty-five to forty times. This was true also of the “blue chip” issues, which comprised leading units in miscellaneous fields. As pointed out before, these generous valuations were based upon the assumed continuance of the upward trend

¹ The wording of this statement, as quoted in the *Wall Street Journal* of March 26, 1928, was as follows: “‘General Motors shares, according to the Dow, Jones & Co. averages,’ Mr. Raskob remarked, ‘should sell at fifteen times earning power, or in the neighborhood of \$225 per share, whereas at the present level of \$180 they sell at approximately only twelve times current earnings.’”